



Compliance

In most countries, companies have to adhere to laws and industry regulations that govern how they can sell and market their products. The rules are there to make sure that businesses operate fairly.

How it works

Governments impose rules on marketers to prevent any unscrupulous, misleading, or unwelcome practices, such as false advertising, the failure to disclose all

terms and conditions, and spam marketing (sending unsolicited emails). The regulatory body is able to investigate any company accused of breaking the rules and impose penalties if it finds the company guilty.

Marketing regulations

To protect the consumer, regulatory bodies produce guidelines instructing companies on how they should market their products.

Business areas subject to regulation	Example of marketing practice
 Comparative claims	 "Our model is much better than our competitors' models!"
 Endorsements	 "I owe my success to their product!"
 Special offers	 "Buy one, get one free!"
 Sweepstakes and contests	 "Enter the prize drawing for the chance to win the vacation of a lifetime!"
 Telemarketing	 "Good evening. Would you like to save money on your energy bills?"
 Marketing to children	 "Step right up and enter the House of Toys..."
 Customer data	 "Please fill in the registration form."
 Email marketing	 "Today only—24-hour online sale!"
 Use of spam	 "Congratulations! You have been selected..."
 Negative-option billing	 "Please uncheck the box if you do not wish to..."